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AirTAC International | Asia Pacific

August Sales -7% MoM/+43% YoY

Here we focus on AirTAC's monthly sales, which we believe could be a catalyst for its share price.

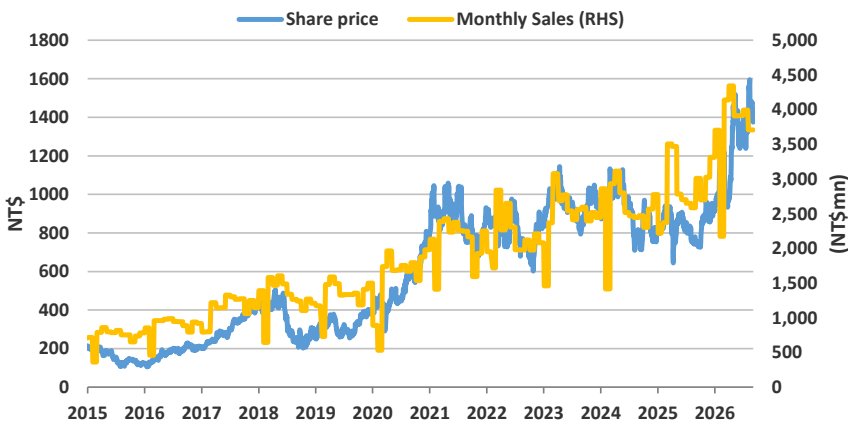
What's new:

- August sales came in at NT\$3,708mn (-7% MoM/+43% YoY), with the sequential decline mainly due to seasonality.
- By segment, shipments of textiles (+47% YoY), electronics (+36% YoY), machine tool (+35% YoY) and battery (+30% YoY) outperformed during the month.
- QTD revenue reached 66% of our estimate at NT\$11,586mn (-5% QoQ/+41% YoY) and 70% of consensus' at NT\$11,015mn (-9% QoQ/+34% YoY).

Outlook:

- We see its 3Q26 revenue tracking in line with our estimate.
- Management remains positive on its growth outlook driven by its share gains and the policy-supported industry upcycle, which it expects to extend into 2027.
- Stay OW, as current valuation of 20x 2027e P/E is undemanding vs. its mid-cycle average of 25x.

Exhibit 1: AirTAC monthly sales vs. its share price since 2015



Source: Company data, TEJ, Morgan Stanley Research. Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

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AirTAC International (1590.TW, 1590 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$2,000.00
Up/downside to price target (%)	45
Shr price, close (Sep 3, 2026)	NT\$1,375.00
52-Week Range	NT\$1,615.00-741.00
Sh out, dil, curr (mn)	200
Mkt cap, curr (mn)	US\$8,671
EV, curr (mn)	US\$8,520
Avg daily trading value (mn)	US\$35

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	41.97	60.77	68.77	77.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	41.43	58.33	67.29	74.62
Revenue, net (NT\$ mn)	34,330	45,007	50,917	57,428
EBITDA (NT\$ mn)	12,866	17,543	19,669	22,130
ModelWare net inc (NT\$ mn)	8,400	12,165	13,765	15,567
P/E	22.2	22.6	20.0	17.7
P/BV	3.5	4.7	4.1	3.7
RNOA (%)	17.7	25.1	25.9	27.3
ROE (%)	17.5	23.1	23.4	23.4
EV/EBITDA	14.1	15.3	13.5	11.8
Div yld (%)	2.2	2.1	2.2	2.5
FCF yld ratio (%)	3.4	2.7	3.5	3.9
Leverage (EOP) (%)	(9.1)	(11.0)	(15.2)	(18.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
August 2026 sales	03 Sep 2026	Unchanged	In-line

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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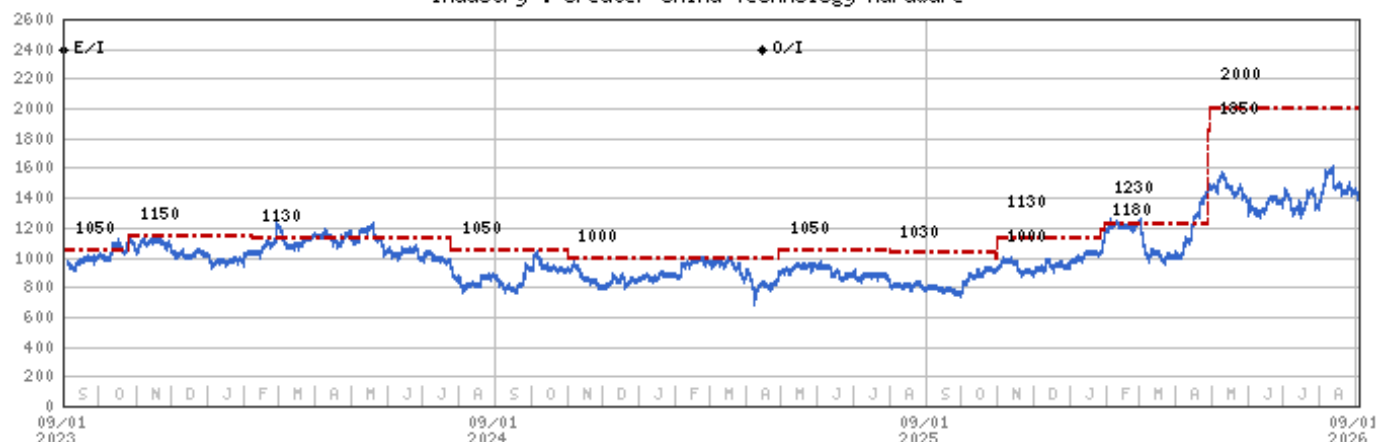
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AirTAC International (1590.TW) - As of 09/03/26 GMT in TWD Industry : Greater China Technology Hardware



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/03/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.32
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb173.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$25.00
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.72
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.29
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb384.76
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$991.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.78
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.49
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.98
Largan Precision (3008.TW)	O (07/10/2026)	NT\$7,150.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.12
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.90
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.61
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$60.25
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb56.17
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.65
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.77
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb62.57
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$42.04
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.46
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$70.60
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb248.81
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.44
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb393.46

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$164.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb112.18
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.63
Zhongji Innolight Co Ltd (300308.SZ)		Rmb813.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.42
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.30
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,090.00
Advantech (2395.TW)	O (01/20/2021)	NT\$674.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,375.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,300.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$26.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,350.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,100.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.71
Chenbro (8210.TW)	O (07/23/2025)	NT\$948.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,015.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,760.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$147.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$61.50
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,095.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$344.50
Innolux (3481.TW)	E (04/07/2025)	NT\$48.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,450.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.87
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.88
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.55
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb197.18
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.25
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$971.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$206.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$38.75
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.35
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb63.20
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$350.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,100.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$247.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb86.35
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$3,120.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$30.54
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,670.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,080.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$335.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.19
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb341.54
Unimicron (3037.TW)	O (02/23/2026)	NT\$923.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$525.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,475.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$511.00
Zhen Ding (4958.TW)	++	NT\$464.00

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* Historical prices are not split adjusted.

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